

CHAPTER 5 - The Permanent Portfolio

Harry Browne was an author of over 12 books, a one-time Presidential candidate, and a financial advisor. The basic portfolio that he designed in the 1980s was balanced across four simple assets, and you can see Harry [explain the theory here](#):

“For the money you need to take care of you for the rest of your life, set up a simple, balanced, diversified portfolio. I call this a “Permanent Portfolio” because once you set it up, you never need to rearrange the investment mix— even if your outlook for the future changes. The portfolio should assure that your wealth will survive any event — including an event that would be devastating to any individual element within the portfolio... It isn’t difficult or complicated to have such a portfolio this safe. You can achieve a great deal of diversification with a surprisingly simple portfolio.”

Although the portfolio underperformed stocks, it was incredibly consistent across all market environments with low volatility and drawdowns. This presents a classic dilemma for investors, particularly professional advisors. What is the trade-off for being different? Despite the incredibly consistent performance there are many years this portfolio would have underperformed U.S. stocks or a 60/40 allocation. Can you survive those periods even if you believe this portfolio to be superior? See Figure 28.